Fiscal Note

Legislative Council Staff

Nonpartisan Services for Colorado's Legislature

SB 26-135: STATE PUBLIC K-12 EDUCATION FUNDING

Prime Sponsors:
Sen. Bridges; Kipp
Rep. Bacon; Lukens

Fiscal Analyst:
Emily Dohrman, 303-866-3687
Anna Gerstle, 303-866-4375

Bill Outcome: Referred to Voters
Drafting Number: LLS 26-0140

Version: Final Fiscal Note
Date: August 10, 2026

Fiscal note status: The final fiscal note reflects the adopted bill and the June 2026 Legislative Council Staff Forecast. The fiscal impacts identified only take effect if the bill is approved by voters at the November 2026 election.

Summary Information

Overview. The bill refers a measure to voters at the November 2026 election that, if approved, allows the state to retain revenue collected above the Referendum C cap, up to a newly established limit. Revenue retained under the measure must be used to fund reimbursements for the homestead property tax exemption, K-12 education, and programs that support children.

Types of impacts. The bill is projected to affect the following areas on an ongoing basis:

- State Expenditures
- State Diversion
- TABOR Refunds
- School Districts

Appropriations. No change in appropriations is required.

Table 1
Conditional State Fiscal Impacts

Type of Impact	Budget Year FY 2026-27	Out Year FY 2027-28
State Revenue	$0	$0
State Expenditures	$329.9 million	$521.0 million
Diverted Funds	$153.1 million	$153.1 million
Change in TABOR Refunds	-$329.9 million	-$521.0 million
Change in State FTE	0.0 FTE	0.0 FTE

Fund sources for these impacts are shown in the tables below.

SB 26-135

Table 1A
Conditional State Expenditures

Fund Source	Budget Year FY 2026-27	Out Year FY 2027-28
General Fund	-$153.1 million	$53.0 million
Children's Account in General Fund	$483.0 million	$468.0 million
Cash Funds	$0	$0
Federal Funds	$0	$0
Centrally Appropriated	$0	$0
Total Expenditures	**$329.9 million**	**$521.0 million**
Total FTE	**0.0 FTE**	**0.0 FTE**

Table 1B
Conditional State Diversions

Fund Source	Budget Year FY 2026-27	Out Year FY 2027-28
General Fund	-$153.1 million	-$153.1 million
Children's Account	$153.1 million	$153.1 million
Net Change	**$0**	**$0**

Table 1C
Conditional Change in TABOR Refunds

Fund Source	Budget Year FY 2026-27	Out Year FY 2027-28
Property Tax Refunds	-$206.1 million	-$213.2 million
Income Tax Rate Reduction	$0	-$148.7 million
Six-tier Sales Tax Refund	-$123.9 million	-$159.1 million
Net Change in TABOR Refunds	**-$329.9 million**	**-$521.0 million**

Summary of Legislation

This bill refers a ballot measure to voters at the November 2026 general election. If approved, the measure would allow the state to retain and spend additional revenue under TABOR above the current limit ("Referendum C cap") beginning in FY 2026-27. The additional retained revenue, after paying for the homestead property tax exemption, is deposited in the newly created Children's Account in the General Fund, and spent as discussed below. The retained revenue is spent in the fiscal year in which it is retained.

Retain and Spend Additional Revenue

Conditional on voter approval, the bill allows the state to retain and spend revenue in excess of the Referendum C cap, which would otherwise be refunded to taxpayers as TABOR refunds under current law. The additional amount that may be retained and spent is equal to the amount spent on state public education funding, including the amount spent on the newly created positive factor, in the highest previous year. State public education funding includes appropriations for the state share of school finance and categorical programs paid from sources that are subject to TABOR, as determined by Legislative Council Staff no later than August 1 each year.

For FY 2026-27 through FY 2035-36, any revenue that is retained under this bill must be spent as follows:

- first, to reimburse local governments for their lost revenue due to the homestead property tax exemption;
- then, on a newly established "positive factor" for K-12 education (described below);
- if the positive factor is less than half of the amount credited to the account, the difference between the positive factor and half of the amount credited to the account must be spent on K-12 education for school services, disability services, and increasing annual contact hours; and
- the remaining revenue must be spent on programs that support children, prioritizing child care, full-day preschool, and other programs that help children be successful in school.

The requirement that at least half the amount credited to the account be spent on K-12 education, with the remainder spent on children programs ends after FY 2035-36. Beginning in FY 2036-37, revenue retained under the bill is first spent on homestead property tax reimbursements and then as determined by the state legislature. The distribution of the positive factor for K-12 education also continues provided that sufficient revenue is deposited in the Children's Account.

School Finance Positive Factor

Beginning in FY 2026-27, the bill distributes retained revenue to school districts through the newly created positive factor. For FY 2026-27 through FY 2035-36, the positive factor equals two percent of the program foundation plus the prior year positive factor. Beginning in FY 2036-37, the positive factor in each year is a constant amount equal to the FY 2035-36 positive factor. Program foundation is equal to the state share of school finance until the new school finance formula is fully phased in, and is equal to the statewide total program after the new formula is phased in.

A school district's distribution through the positive factor is equal to the district's percent of statewide total program funding under the new school finance formula fully implemented, multiplied by the total amount of the positive factor. The positive factor is not included in a district's total program funding.

The positive factor must be used to fund increased teacher pay, teacher retention, smaller class sizes, and access to career and technical courses. Local education providers must post information online about how they spend the positive factor distributions.

State Audit

The bill requires the Office of the State Auditor to prepare a report for each fiscal year describing how much revenue was retained under the bill and how the state spent the additional revenue.

Background

Homestead Property Tax Exemption

Under current law, certain seniors, veterans with a disability, and Gold Star spouses are eligible for property tax exemptions. The state is required to reimburse local governments for lost property tax revenue due to the exemption. Under current law, in years where revenue exceeded the Referendum C cap in the prior year, reimbursements to local governments are considered a TABOR refund mechanism of the prior year's revenue. In years where prior year revenue was below the Referendum C cap, reimbursements must be paid from another source.

Triggered Tax Credits

There are four tax credits in current law, known as triggered tax credits, whose availability or amounts are dependent on state revenue conditions. Changes to state revenue subject to TABOR may affect the availability or level of these triggered tax credits. This bill increases the amount of revenue that the state is permitted to retain and spend, but it is not expected to impact the amount of nonexempt revenue that is collected. As a result, the bill is not expected

to impact the availability or amounts of triggered tax credits. The bill also includes conforming amendments to ensure that the availability and amounts of the family affordability tax credit and the expanded earned income tax credit are not changed.

Affordable Housing Diversion

Under Proposition 123, a portion of taxable income is diverted to the Office of Economic Development and International Trade (OEDIT) for affordable housing, and is exempt from TABOR. Under current law, if the Legislative Council Staff March forecast anticipates that revenue will fall below the Referendum C cap in the upcoming year, the General Assembly may reduce the amount diverted to OEDIT to balance the state budget. The bill maintains the requirement that revenue must fall below the Referendum C cap, not the new cap created in this bill, for the General Assembly to be permitted to reduce the amount diverted to OEDIT to balance the state budget.

Assumptions

State Public Education Funding

The fiscal note assumes that state public education funding includes appropriations for the state share of total program and categorical programs from the General Fund, and the Kids Matter Account within the State Education Fund (SEF). It does not include spending from the SEF that is already exempt from TABOR under Amendment 23 or from the State Public School Fund, which receives various sources of TABOR-exempt revenue. Based on current estimates, the state is estimated to spend $4.6 billion in FY 2025-26 and $4.7 billion in FY 2026-27 on state public education funding.

School Finance Assumptions

The fiscal note assumes continued implementation of the school finance formula as specified under current law for FY 2026-27 and FY 2027-28, and the December 2025 LCS K-12 Enrollment and Assessed Values Forecast. Any future changes to the school finance formula will impact the estimates in the State Expenditures and School District sections of the fiscal note.

Recent Legislation and Current Forecast

This fiscal note reflects the June 2026 LCS revenue forecast and incorporates all legislation adopted from the 2026 legislative session.

TABOR Refunds

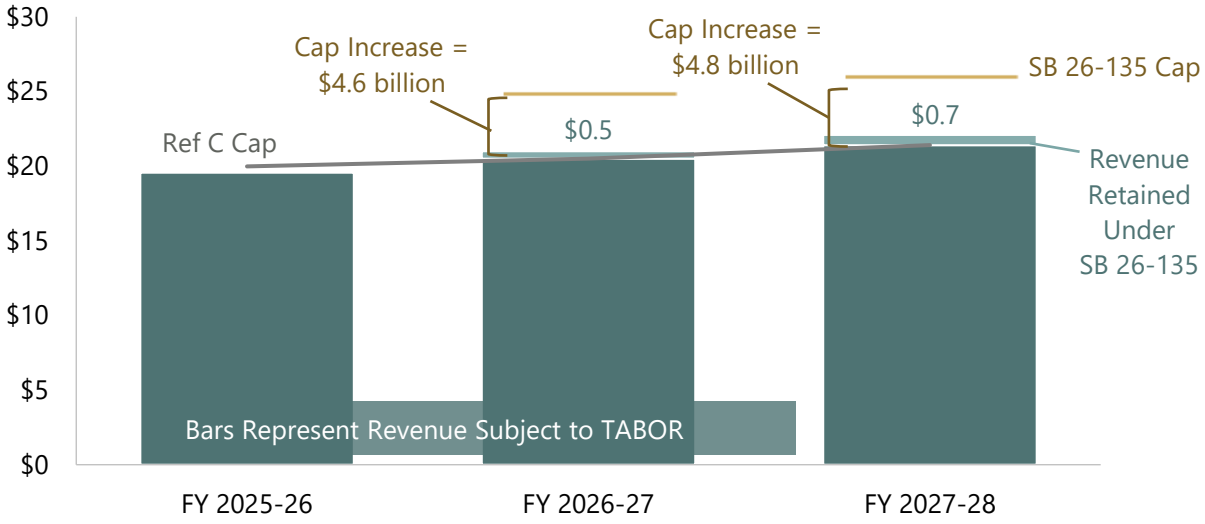
Conditional on voter approval, the bill is expected to reduce TABOR refunds by $329.9 million in FY 2026-27, $521.0 million in FY 2027-28, and by varying amounts in future years. A forecast of state revenue subject to TABOR is not available beyond FY 2027-28.

As discussed in the Assumptions section, the state is estimated to spend $4.6 billion from nonexempt sources on state public education funding in FY 2025-26 and $4.8 billion in FY 2026-27. As a result, the state would be permitted to retain and spend up to $4.6 billion in excess of the Referendum C cap in FY 2026-27 and $4.8 billion in FY 2027-28. The amount that will actually be retained depends on the amount of revenue collected. The bill does not affect revenue collections.

The state is projected to collect $20.99 billion in revenue subject to TABOR in FY 2026-27 and $22.08 billion in FY 2027-28 under the June LCS forecast. Under these assumptions, revenue subject to TABOR is expected to exceed the Referendum C cap by $483.0 million in FY 2026-27 and by $674.1 million in FY 2027-28. The bill allows the state to retain and spend this amount as described in the State Expenditures section. However, due to House Bill 26-1419, TABOR refunds are expected to be $153.1 million less than the amount of the TABOR surplus in FY 2026-27 and FY 2027-28 under current law. As a result, TABOR refunds are expected to be only $329.9 million in FY 2026-27 and $521.0 million in FY 2027-28 under current law, and SB 26-135 is expected to eliminate these TABOR refunds.

In FY 2026-27, the entire amount retained is deposited in the Children's Account in the General Fund. Beginning in FY 2027-28, the amount retained is first used to pay for homestead exemption reimbursements, and any amount remaining after paying for the reimbursements is deposited in the Children's Account in the General Fund.

Figure 1
State Revenue Limits and Additional Retained Revenue under SB 26-135
Dollars in Billions



Source: Office of the State Controller and Legislative Council Staff. f = forecast.

State Diversions

Conditional on voter approval, the bill diverts $153.1 million from the General Fund to the Children's Account. HB 26-1419 is assumed to reduce TABOR refunds by $153.1 million in FY 2026-27 and FY 2027-28, making $153.1 million available to be spent from the General Fund under current law. If SB 26-135 is approved by the voters, the entire TABOR surplus is retained under SB 26-135 and spent as described in the next section, and HB 26-1419 has no effect until revenue exceeds the new SB 26-135 revenue cap. Because voter approval of SB 26-135 would cause HB 26-1419 not to take effect in FY 2026-27 and FY 2027-28, SB 26-135 reduces the amount available to spend or save from the General Fund by $153.1 million in FY 2026-27 and FY 2027-28. Rather, this revenue is credited to the Children's Account and spent there.

State Expenditures

Conditional upon the referred measure being approved by voters, the bill increases state expenditures by $329.9 million in FY 2026-27 and $521.0 million in FY 2027-28, and by varying amounts in subsequent years. Expenditures are from the General Fund and the Children's Account in the General Fund. Impacted departments include Education, Legislative, Local Affairs, Treasury, Revenue, Personnel, and other state agencies as determined by the General Assembly. Costs are as shown in Table 2 and described in the sections below.

Table 2
Conditional State Expenditures
All Departments

Use	Budget Year FY 2026-27	Out Year FY 2027-28
General Government Purposes	-$153.1 million	-$153.1 million
Property Tax Reimbursements (Treasury)	$0	$206.1 million
K-12 Education – Positive Factor (CDE)	$107.4 million	$218.8 million
K-12 Education – Other (CDE)	$134.1 million	$15.2 million
Programs That Support Children	$241.5 million	$234.0 million
Office of State Auditor	$0	$20,000
Total Costs	**$329.9 million**	**$521.0 million**

General Government Purposes

The bill reduces the amount available to be spent from the General Fund by $153.1 million in each of FY 2026-27 and FY 2027-28, due to its interaction with HB 26-1419, as discussed above.

Property Tax Reimbursements to Local Government

The bill is expected to increase General Fund expenditures for property tax reimbursements to local governments by $206.1 million in FY 2027-28. Under current law, local reimbursements for homestead property tax exemptions are expected to paid as a TABOR refund mechanism in FY 2027-28. By allowing the state to retain and spend revenue above the Referendum C cap, the bill eliminates the TABOR refund requirement for FY 2026-27, such that no FY 2027-28 reimbursements will not be counted as a TABOR refund mechanism. Instead, reimbursements are paid from retained revenue under the bill beginning in FY 2027-28.

The bill does not impact the FY 2026-27 property tax reimbursements because they will be paid by the FY 2025-26 TABOR refund obligation, or by the General Fund if the FY 2025-26 refund obligation is insufficient. The FY 2025-26 TABOR refund is not affected by this bill.

Department of Education

K-12 Education – Positive Factor

Positive factor distributions are estimated to be $107.4 million in FY 2026-27 and $218.8 million in FY 2027-28, paid from the Children's Account in the General Fund. CDE must distribute this funding to school districts using the calculations specified in the bill. The estimated amounts distributed to each school district are shown in the Appendix A.

K-12 Education – Other

If the positive factor is less than half of the amount credited to the Children's Account, the difference between the amount of the positive factor and half of the amount credited to the account must be spent on public K-12 education, in addition to the positive factor. This amount must be used for school services, disability services for students with disabilities, and increasing annual contact hours.

In FY 2026-27, the positive factor is expected to be less than half the amount credited to the account, such that $134.1 million is expected to be available for this purpose. In FY 2027-28, $15.2 million from the Children's Account must be spent on public K-12 education, in addition to the positive factor. The allocation of this money for the state's school finance obligation or other K-12 uses will be determined by the General Assembly.

Administrative Costs

CDE will have increased workload to distribute positive factor funding to school districts and state Charter School Institute schools. The fiscal note assumes that school districts are not required to report specifically how the funds are used to CDE. As a result, no change in appropriations is required.

Programs That Support Children

After making distributions for the positive factor and other K-12 funding, revenue remaining in the Children's Account must be spent on programs that support children, prioritizing childcare, full day preschool, and other programs that prepare children to be successful in school. In FY 2026-27, $241.5 million is expected to be available for programs supporting children after making the positive factor and other K-12 spending distributions. In FY 2027-28, $234.0 million is expected to be available after paying homestead exemption reimbursements from the General Fund, making the positive factor distributions, and other K-12 spending.

Legislative Department

The bill increases General Fund expenditures by $20,000 in the Office of the State Auditor beginning in FY 2027-28. The Office of the State Auditor requires a contractor to prepare the excess state revenues legislative report required by the measure following each year in which the state retains additional revenue as a result of the measure.

Additionally, Legislative Council Staff will have increased workload to annually calculate the amount that is counted as fiscal year spending and appropriated by the General Assembly for categorical programs and the state share of school finance in the prior year. No change in appropriations is required for Legislative Council Staff.

Office of the State Controller

The bill minimally increases workload for the State Controller's Office in the Department of Personnel to account for the new revenue limit and to create a new account within the General Fund. No change in appropriations is required.

Election Expenditure Impact — Existing Appropriations

This bill includes a referred measure that will appear before voters at the November 2026 general election. While no additional appropriation is required, certain election costs are incurred by the state when ballot measures are referred. These include reimbursing counties for certain election costs; publishing the text and title of the measure in newspapers across the state; and preparing and mailing the ballot information booklet.

School District

As discussed in the State Expenditures section, positive factor distributions to school districts are estimated to be $107.4 million in FY 2026-27 and $218.8 million in FY 2027-28, paid from the Children's Account in the General Fund. Appendix A shows estimated district distribution for FY 2026-27. This money must be spent on increased teacher pay, teacher retention, smaller class sizes, and access to career and technical courses. Districts will have increased workload to post information on their websites about how they spend the positive factor.

In addition, the measure is expected to provide $134.1 million in FY 2026-27 and $15.2 million in FY 2027-28 for K-12 education for school services, disability services for students with disabilities, and increasing annual contact hours. The method for distributing this funding will be determined by the General Assembly.

Effective Date

The bill was referred to voters as Proposition NN. If approved by voters at the 2026 election, the bill takes effect upon proclamation of the Governor, no later than 30 days after the official canvass of the vote is completed.

State and Local Government Contacts

Counties

Education

Legislative Council Staff Economists

Local Affairs

Office of Economic Development

Personnel

Revenue

State Auditor

Treasury